

23STCV24128 23STCV24128

County: los-angeles

Division: Civil Law and Motion

Department: 510

Hearing date: 2026-08-21

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Case Number: 23STCV24128 Hearing Date: August 21, 2026 Dept: 510

No.

11 - Veronica Novela v. Ganahl Lumber Company

Plaintiff's Motion for Preliminary

Approval of PAGA Action Settlement

Plaintiff

Veronica Novela moves for an order granting approval of a Representative PAGA Settlement. The motion is accompanied by a declaration from Plaintiff's counsel Alan Romero.

Plaintiff

filed this action on October 4, 2023, alleging three Labor Code violations by her employer under her PAGA cause of action. Once a settlement was reached, the parties stipulated to allow Plaintiff to file a first amended complaint that alleged the employer committed at least nine Labor Code violations. The violations include Defendant's failure to pay overtime, provide meal and rest periods, pay minimum wage, and a litany of other Labor Code violations for which substantial penalties could be assessed. The parties seek approval of a settlement that would affect more than 1,160 employees.

Plaintiff

asserts that there are 1,160 Aggrieved Employees who worked 39,737 PAGA Pay Periods during the PAGA Period of June 1, 2024, to January 28, 2026. (Capitalized terms are defined in the parties' settlement agreement.) If approved, all 1,160 Aggrieved Employees will release Ganahl Lumber Company, its officers, directors, employees, successors and myriad others from any claim that was or "could have been based" on the factual or legal theories and

allegations in the complaint or amended complaint.

The

key numbers of the settlement are important. If approved, Defendant will pay the total amount of \$137,500. From that amount, Plaintiff seeks attorney fees of \$45,833.33 (1/3 of the total), plus \$9,000 for litigation costs. Plaintiff individually seeks an Enhancement Award of \$5,000. Administration costs for the settlement will be an additional \$9,000, leaving \$68,666.67 in the PAGA Penalty Fund. Three-fourths of the Penalty Fund will be paid to the Labor and Workforce Development Agency ("LWDA"), leaving 25% of the balance, or \$17,166.67, to be divided pro-rata among the 1,160 employees based on the amount of pay periods worked. On average, each employee would receive only \$14.80, or only \$0.43 per pay period.

Labor

Code § 2699(l)(2) provides, "The superior court shall review and approve any settlement of any civil action filed pursuant to this part [the Labor Code Private Attorneys General Act of 2004]. The proposed settlement shall be submitted to the LWDA at the same time that it is submitted to the court."

The

Court denies the motion for several reasons.

First

and foremost, the proposed settlement does not appear to be fair. Plaintiff amended the original complaint after settlement to include new Labor Code violations that alone would increase Defendant's exposure substantially. That amendment occurred almost three months after the settlement agreement was signed, with no corresponding additional value provided to the Aggrieved Employees. Plaintiff now claims there were more than nine separate Labor Code violations, which if proven could entitle each Aggrieved Employee to multiple hundreds or thousands of dollars in statutory penalties.

The

import can easily be demonstrated with a simple example. Plaintiff asserts representative claims for violation of Labor Code section 203, which provides for a penalty for an employer's failure to promptly pay owed wages when an employee quits and other circumstances. (Violation of section 203 was included in the amended complaint, at ¶ 121.) If established, a penalty of up to 30

days' wages is mandated. If each employee was paid \$4,000/month, rather modest for many professions, the penalty for the Aggrieved Employees would exceed \$4,640,000.

Second,

according to the proposed Employee Notice attached as Exhibit A to the settlement agreement, each of the more than 1,160 Aggrieved Employees would first learn about the settlement, and the fact that they have waived all claims and penalties against their employer, after the Court has approved the settlement and they have been handed a check for less than \$15.00. The employees have no opportunity to opt out, to retain counsel, or to even receive additional information about what the case is about. (The only contact information is for the Settlement Administrator.)

Third,

under the deal the individual Plaintiff would be paid \$5,000, or nearly 340 times more than the average employee would receive. Nowhere, though, is there any indication that Plaintiff's alleged harm from the various Labor Code violations is any greater than that of her fellow employees. The fact that she was a named Plaintiff does not warrant such disparate treatment, especially where it is to the detriment of some many other employees.

Viewed

as a whole, the proposed settlement appears to be an unfair package deal, where Defendant pays a healthy sum to Plaintiff and her attorney in exchange for a substantial discount on PAGA penalties for thousands of aggrieved employees, all of whom learn for the first time that they have released all of their individual claims when they receive a small check. For these reasons, the Court denies Plaintiff's motion for preliminary approval of the PAGA action settlement, without prejudice.